in the market. Most human needs were taken care of by the family and the community.

There were also kingdoms and empires that performed important tasks such as waging wars, building roads and constructing palaces. For these purposes kings raised taxes and occasionally enlisted soldiers and labourers. Yet, with few exceptions, they tended to stay out of the daily affairs of families and communities. Even if they wanted to intervene, most kings could do so only with difficulty. Traditional agricultural economies had few surpluses with which to feed crowds of government officials, policemen, social workers, teachers and doctors. Consequently, most rulers did not develop mass welfare systems, health-care systems or educational systems. They left such matters in the hands of families and communities. Even on rare occasions when rulers tried to intervene more intensively in the daily lives of the peasantry (as happened, for example, in the Qin Empire in China), they did so by converting family heads and community elders into government agents.

Often enough, transportation and communication difficulties made it so difficult to intervene in the affairs of remote communities that many kingdoms preferred to cede even the most basic royal prerogatives – such as taxation and violence – to communities. The Ottoman Empire, for instance, allowed family vendettas to mete out justice, rather than supporting a large imperial police force. If my cousin killed somebody, the victim's brother might kill me in sanctioned revenge. The sultan in Istanbul or even the provincial pasha did not intervene in such clashes, as long as violence remained within acceptable limits.

In the Chinese Ming Empire (1368–1644), the population was organised into the *baojia* system. Ten families were grouped to form a *jia*, and ten *jia* constituted a *bao*. When a member of a *bao* commited a crime, other *bao* members could be punished for it, in particular the *bao* elders. Taxes too were levied on the *bao*, and it was the responsibility of the *bao* elders rather than of the state officials to assess the situation of each family and determine the amount of tax it should pay. From the empire's perspective, this system had a huge advantage. Instead of maintaining thousands of revenue officials and tax collectors, who would have to monitor the earnings and expenses of every family, these tasks were left to the community elders. The elders knew how much each villager was worth and